

Week ending 02nd October 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were subscribed recording subscription rates of **155%, 41%** and **53%** respectively. The CBK accepted KES **4.9B**, **3.5B** and **2.3B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

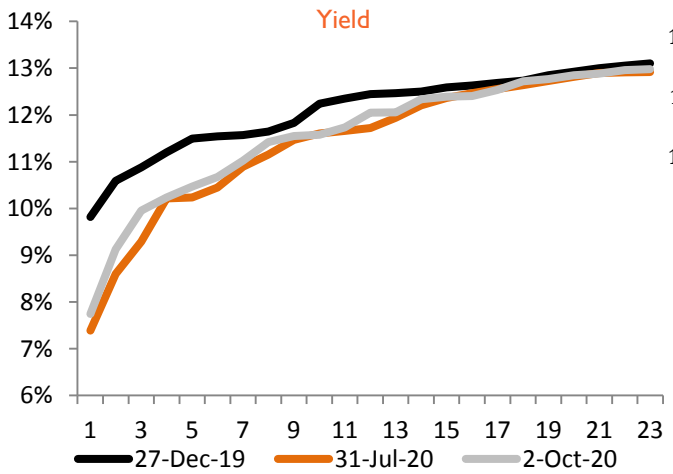
In October, Central Bank of Kenya is re-opening two fixed bonds **FXD1/2011/20-(10.6Yrs) and FXD1/2018/25-(22.7Yrs)** in a bid to raise **50 Billion**. The coupon rates for the bonds are **10.000%** and **13.400%** respectively**.** The period of sale for the bonds runs from **28/09/2020** to **13/10/2020.** The bonds attract a withholding tax of **10%** each.

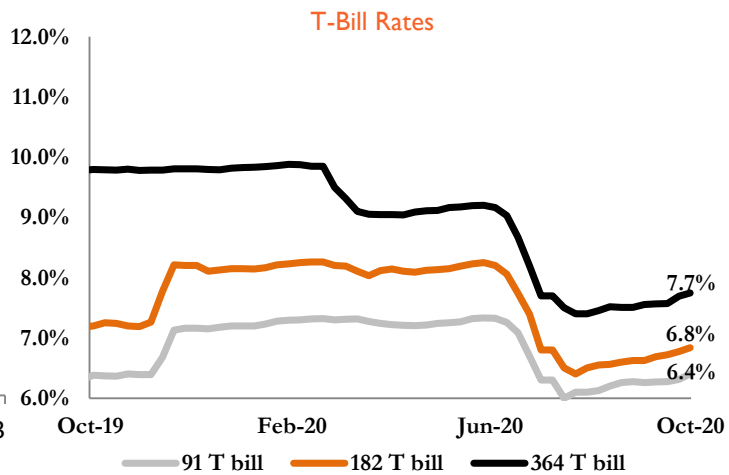
Key Indicators

	Current	Previous	% Change
91- Day	6.40%	6.31%	1.43%
182-Day	6.84%	6.77%	1.03%
364-Day	7.74%	7.69%	0.65%
Interbank Rate	3.28%	3.42%	-4.09%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (September)	4.20%	4.36%
Private sector credit growth (June)	7.6%	8.1%
Money Supply (April)	6.2%	4.9%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.02%** to stand at **108.49**.The CBK's usable forex reserves currently stand **USD 8,533million** (**5.18** months of import cover) as at October 01st a **1.09%** decrease from **USD8,627million**(**5.23** months of import cover) as at September 24th.

Inflation

Inflation decreased to **4.20%** in September. The CPI remained at **108.57.** This decrease occurred on the back of a drop in the housing, water, electricity, gas & other fuels and transport; information and communication indices which decreased by 0.05% and 0.01% respectively**.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

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